

Multiple Choice (10 marks)

1. Which characteristic is likely a part of a monopoly market but not of monopolistic competition?
 - (a) Deadweight loss exists
 - (b) Perfect competition
 - (c) Price taker
 - (d) Many sellers and buyers
 - (e) High barriers to entry
2. Which of the following will increase wages for tuba makers?
 - (a) A decrease in the cost of tuba-making materials
 - (b) An increase in the number of graduates at tuba maker training school
 - (c) An increase in the tax on tubas
 - (d) An increase in the number of tuba maker training schools
 - (e) An increase in the price of tubas
3. What gives rise to the difference in the aggregate demand for a nontrading or closed economy from a trading or open economy?
 - (a) Differences in taxation policies between economies
 - (b) The inclusion or exclusion of foreign direct investment
 - (c) absence of investment
 - (d) Variances in the level of technological advancement
 - (e) Variations in the savings rate of the population
4. Why is the Wagner Act (officially the National Labor Relations Act), considered to be "labor's Magna Charta"?
 - (a) It introduced mandatory profit sharing between employers and employees
 - (b) It obligated employers to bargain in good faith with a union
 - (c) It outlawed company unions
 - (d) It created a universal pension system for all workers regardless of employer contributions
 - (e) It allowed for automatic union membership for all employees in a workplace
5. What is gross private domestic investment?

- (a) Personal investments in real estate
- (b) Buying of stocks and bonds
- (c) Depreciation of capital
- (d) Transfer of ownership of existing assets
- (e) Government spending on infrastructure projects

True / False (10 marks)

Answer True or False

- 6. True or False: Decreasing government spending with no change in taxes is likely to boost real GDP without raising the price level.
- 7. True or False: Lower interest rates in the United States typically lead to an increase in the value of the dollar while keeping U.S. exports unchanged.
- 8. True or False: Microeconomics primarily analyses the overall national economy and its growth.
- 9. True or False: A cashier at a restaurant receiving the same \$8 an hour as other cashiers is an example of transfer earnings.
- 10. True or False: Economic profits are calculated by subtracting explicit costs from implicit costs.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss the concept of opportunity cost in the context of Nancy's decision to study for an exam instead of working. How does this choice reflect her valuation of time and resources?
- 12. Discuss the concept of autocorrelation in time series analysis and evaluate the effectiveness of the Dickey-Fuller test in detecting autocorrelation up to the third order.

End of Paper